

Hertz Global Holdings, Inc.: accounting assessment, FY2013

Based on the Form 10-K for the year ended December 31, 2013, read as it stands. Pages refer to that report unless stated.

"Pre-tax" is FY2013 income before income taxes of \$663.1M.

1. Policy profile

Area	What the report says	Where it sits	Why, in a few words	Size
Revenue recognition	Rental revenue recognised over the rental period; reimbursements gross where principal (p. 90)	Typical	Standard for rental; little rests on estimates	Not quantified
Reserves and allowances	Self-insurance: "relatively minor adjustments" (p. 45), with no movement table; doubtful accounts in Schedule II (p. 158)	Can't tell: not enough disclosed	Largest reserve has no charges or payments shown; allowance is 2.0% of gross receivables, and write-offs of \$40.3M exceed it	Not quantified; balances \$347.7M and \$30.8M
Capitalized costs and useful lives	U.S. car depreciation rates cut, "net decreases of \$44.2 million", beside "net losses of \$48.2 million" on U.S. disposals (p. 126)	Leans aggressive	Rates lowered in a year the cars sold below book	6.7% of pre-tax (rate cut)
Impairment and goodwill	"no impairment existed" (p. 94); no headroom, discount rate or growth rate given	Can't tell: not enough disclosed	Method described, room not shown	Not quantified; balance \$4,697.6M (goodwill plus indefinite-lived intangibles), 19.1% of assets
Off the balance sheet	Operating leases and concessions, fleet purchase commitments, indemnities; financing entities consolidated (pp. 69–71, 129–130)	Typical	Amounts and maturities given	Not quantified; commitments \$2,727.7M and \$4,757.6M
Related parties	Director fees, sponsor debt now nil, \$3.1M executive relocation home purchases (pp. 147–148)	Typical	Small and disclosed	Not quantified
Contingencies and legal	Nevada fee case: judgment "could potentially exceed \$40.0 million", yet outcome "will not be material"; "none of those reserves are material" (pp. 137–138)	Leans aggressive	Court granted restitution in part; accrual amount not given	Exposure of \$40.0M or more, 6.0% of pre-tax
Auditor's report and controls	Unqualified; controls "effective" (pp. 74, 159), beside "out of period errors totaling \$46.3 million" (p. 83)	Leans aggressive	Errors over several years, called material to the quarter; rests partly on general practice	5.2% of pre-tax (\$34.7M pushed back to prior years)
Adjusted (non-GAAP) measures	Adjusted pre-tax income excludes "certain one-time charges" (p. 50)	Leans aggressive	Restructuring excluded every year shown	14.9% of pre-tax (restructuring and related); all exclusions 73.9%

2. Full write-ups

Capitalized costs and useful lives: U.S. car depreciation rates cut while cars sold at a loss

- **The report says:** "The cumulative effect of the reduction in rates was also indicative of the residual values experienced in the U.S. for the years ended December 31, 2013, 2012 and 2011" (Note 8, p. 126).
- **Test:** The claim is that U.S. car resale values in 2013 supported lower depreciation rates. The matching number is the 2013 result on U.S. car disposals in the same note: a net loss of \$48.2M, against gains of \$100.6M and \$114.9M in 2012 and 2011. The claim holds for 2012 and 2011 but not for 2013. The note itself cites "declining residual values", and the management discussion blames "a deterioration in the used vehicle residual values" (p. 54) after saying per-vehicle depreciation fell on "improved procurement and remarketing efforts" (p. 42). That per-vehicle claim can't be tested as stated, because the measure is not defined. Size: the rate cut is 6.7% of pre-tax and the disposal loss 7.3%.
- **Reading:** Most likely the reporting is stretched on top of a weakening used-car market, because rates were lowered by \$44.2M in the year disposals swung \$148.8M from gain to loss. A different reading would follow if the cut came from longer holding periods after the Dollar Thrifty integration and the losses from one-off sales timing, which the note also cites.
- **Read next:** The quarterly split of rate changes and disposal results in the 2013 10-Qs, and first-quarter 2014 U.S. depreciation per vehicle.

Adjusted measures: restructuring treated as one-time

- **The report says:** Adjusted pre-tax income adds back "certain one-time charges and nonoperational items" (management discussion, p. 50).
- **Test:** The claim is that the excluded charges, company-wide, do not recur. Restructuring charges were \$77.0M, \$38.0M and \$56.4M in 2013, 2012 and 2011, and \$645.4M over 2007–2013 (p. 140), about \$92M a year. The report also says "we expect to incur further expenses" (p. 24). The claim does not hold for restructuring. Size: restructuring plus restructuring-related charges are \$98.8M, 14.9% of pre-tax. All exclusions are \$490.1M, 73.9% of pre-tax.
- **Reading:** Most likely the measure is stretched rather than the business weakening, because a cost charged seven years running is an operating cost. The reading would shift toward ordinary if 2013's charge proved mostly the headquarters move (\$21.9M) and Dollar Thrifty integration, and the charges then stopped.
- **Read next:** Adjusted pre-tax income with restructuring left in (\$1,054.4M against \$1,153.2M), tracked across years in the next step.

Controls: effective, alongside errors in several years

- **The report says:** The errors "did not, individually or in the aggregate, result in a material misstatement" but "would have been material to the fourth quarter" (Note 2, p. 83); controls were "effective" (Item 9A, p. 159).
- **Test:** The stated corrections cut 2012 pre-tax income by \$9.2M (2.0%) and 2011 by \$18.7M (5.8%; diluted earnings per share from \$0.40 to \$0.37). Whether that is material is a judgment, so the claim can't be tested as a fact. The listed errors do sum to \$34.7M. Size: \$34.7M moved to prior years is 5.2% of pre-tax; the \$46.3M total is 7.0%, of which \$11.6M (1.7%) fell in 2013's first nine months.
- **Reading:** Possibly the control conclusion is generous, because the errors span vendor incentives, Brazil and under-accruals, and a debt requirement was "unknowingly not being met" (p. 150). An ordinary reading would follow if the errors came from one isolated process that had already been fixed.
- **Read next:** 2014 quarterly filings for further revisions or a changed control conclusion.

3. Also noted

- The provision for doubtful accounts is \$45.9M in the cash flow statement (p. 80) but \$41.9M in Schedule II (p. 158), a \$4.0M tie-out gap.
- The Simply Wheelz "impairment charges and other" is \$44.0M in the adjusted-income table (p. 50) but \$40.0M in the cash flow statement (p. 80). About 9,000 vehicles were still with that lessee at February 1, 2014 (p. 24).
- The out-of-period errors total \$46.3M in the annual report (p. 83) but \$47.9M in the Q4 results release (unnumbered page).
- The text says selling, general and administrative expense rose \$52.6M (p. 55); the table shows \$54.1M (p. 52).

4. Not in the documents

Critical audit matters, a self-insurance movement table, goodwill headroom, amounts earned but not yet billed, a loyalty-programme policy and any receivables sold or factored are not disclosed.